

gral and sustainable components of the value chain. Operators, flush with cash, will outsource difficult or non-core aspects of their businesses to these trusted partners. However, service providers that are too successful will prove tempting takeover targets, and marginal providers will be squeezed out of the industry through competition and increasingly high customer expectations. Publishers: As long as operators remember the importance of content in the entertainment industries, publishers of specialized content will be in a strong position in this scenario. Publishers with exclusive access to high-profile consumer brands will be able to extract premiums for mobile entertainment packages that differentiate one operator from another. Publishers skilled at finding “hot” or “underground” hits will find favour with operators seeking revenue and valuable niche audiences.

Publishers that cannot add value through financing, technology or distribution are likely to suffer because content owners will increasingly deal directly with the dominant operators. As long as sufficient intellectual property protection is in place, revenue shares and profitability are likely to be very high for premium content providers. Content leaders (whether brand owners or developers who invent appealing character-based brands) have the opportunity in this scenario to extend forward in the value chain and deal more directly with the operators.

Content providers that cannot offer brands that pull consumers risk being edged out of mobile entertainment as the operators increasingly seek “one-stop shopping” for their content. Developers risk being relegated to a “work for hire” status without the ability to innovate.

Supporting Evidence

Recent developments that support this scenario include:

WLAN build-out: Throughout Europe and the US, operators have been participating in WLAN network construction in addition to their mobile network plans. AT&T Wireless, Intel and IBM have announced plans to build 20,000 WLAN hotspots in the US. T-